
❖ Horizon Asset Management, Inc. ❖

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Q&A with Murray Stahl

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Investing Alongside the Treasury & Fed

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Trading Volume Trends

Q: *With respect to your enthusiastic view of trading volume trends, and hence what the future holds for exchanges, do you have an opinion on whether or not those volumes currently have a natural ceiling? If they do, what are the constraining factors? Do they include computing power, regulatory angst, contract/instrument types, etc.?*

A: I don't believe the trading volumes have any natural constraint. Historically, processing power was one of those constraints because, up until the 1960's, everything was done by paper. At the moment, the new evolving standard, which will be with us in no more than several months, is the ability to transact at the sub-millisecond level. It's worthwhile reviewing that a millisecond is one-thousandth of a second. Whenever the ability to transact more frequently has combined with increased information reported by the markets, the result has been more frequent transactions; it breeds more transactional activity. The more venues available for trading activity in like instruments, the greater the probability that there will be an exploitable, if slight, differential in price between them. That price difference is essentially what drives the trading volume.

I think it's not an exaggeration to say that the London Stock Exchange has more business now than it had prior to the inception of the Chi-X platform, even though the Chi-X platform has obtained significant market share from the London Stock Exchange. As a matter of fact, when the first securities were introduced to Chi-X on a test basis, for example Lloyds TSB, even in those first few days, there was an increase in Lloyds TSB trading on the London Stock Exchange.

I believe it is true that on days when the London Stock Exchange is closed, Chi-X, which in a regulatory sense could be open, chooses to be closed. In my opinion, Chi-X exists as a potential arbitrage point of venue relative to the London Stock Exchange; the greater the volume in Chi-X, the greater the volume will be in the London Stock Exchange. If there were ten other exchanges like the Chi-X, I think that the volume would be multiplied accordingly.

The regulators are interested in liquidity, securitization and allowing investors to exit asset classes or individual securities that the owners consider problematic; for example, auction rate preferreds. Taking even the greatest security disasters of the last year that include Bear Stearns, Lehman Brothers, Fannie Mae, Freddie Mac, and AIG, in each and every case, the fixed income instruments in those securities were difficult to trade. The causes of the decline in securities prices, which were largely in the form of derivative instruments in the securities inventories, were found to be absolutely untradeable even though the underlying instruments were, in many cases, AAA rated mortgage backed securities. In terms of market scope those underlying securities are many, many times the size of the putative market values of Bear Stearns, et al.

Let's reflect on that statement. There is a \$14 trillion mortgage market in the United States of which at least \$7 trillion has been securitized. That \$7 trillion market became absolutely untradeable; yet, a stock like Bear Stearns, say what one will about it, never stopped trading. The owners were very displeased with the prices obtained, but there was always liquidity available. Therefore, it seems logical that the regulators would encourage the listing of many more items.

One of the great problems in the economy at the current moment is that the credit market is frozen, because there is no liquidity. There's no liquidity, because there's no price discovery; no one knows what the price is, and there is no contact between those who want to sell and those who might be interested in buying the securities. The entire housing market in the United States is not functioning, because liquidity doesn't exist. I think that a remedy for that liquidity problem is the listing of those securities. In any event, it appears fairly likely that the regulators are proceeding along those lines.

Golden Age of Financial Innovation

Q: *Is it possible that we are at the end of a Golden Age of financial innovation that began 30 years ago with the advent of personal computers and programs like Lotus 1-2-3? If so, would this situation alter your view on the desirability of exchanges as investments at the current prices?*

A: The answer is in the question. If we were at the end of a Golden Age of financial innovation, obviously, croupiers would not be the wonderful investment opportunities that I believe them to be. In fact, I believe that we're at the *beginning* of an age of financial innovation. Let's take municipal bonds as just one of the many examples I could use.

Municipal bonds always existed, and they were always very difficult to trade, because the natural owners of them, insurance companies, for instance, would buy large portions of issues and hold them to maturity. If an individual wished to restructure a portfolio, add or subtract to an exposure, or change the nature of a portfolio ladder, it was extraordinarily difficult and created transactional friction, which is very expensive.

Recent months have seen the evolution of Exchange Traded Funds (ETFs) that own diversified portfolios of municipal bonds. In theory, these ETFs make it possible to buy one share of a diversified municipal bond portfolio. In an ideal world, that portfolio should function not very differently from a bank account, by avoiding the denominational problem, which is the minimum lot size at which it's necessary to buy or sell. Typically, in the world of municipal bonds, a \$100,000 face amount is considered to be an inadequate lot size; round lots, as a practical matter, are in the millions of dollars.

A person who wishes to withdraw \$5,000 or \$10,000 from a municipal bond account doesn't want to have to wait for an interest payment, and ETFs make it possible. If one wishes to own securities in foreign markets, it's extraordinarily difficult to be able to transact except for in the most liquid securities, especially in the Asian markets. It's much easier to transact in an ETF. I believe that there are well over 500 ETFs in registration at the moment. Consider the number of publicly traded securities that exist in the world (which I think well exceeds 50,000 specimens), and imagine the many combinations and permutations possible with 50,000 specimens of securities incarnated as ETFs. That explanation is but one way to support the case that we're at the beginning of an age of financial innovation.

Another argument to support that case is that many markets in the world are still developing. A deep and rich publicly traded debt market does not exist anywhere in the world. The debt markets are all dealer markets in which the quotations, price discovery and debt are almost inscrutable. The debt market is many times the size of the equity market, and it's going to become listed and tradable.

In addition, there are the many companies in emerging markets that are not yet listed. In terms of financial innovation, the emerging markets stand the way the American financial market stood 100 years ago. The access to business activity is clearly shifting to the Pacific Basin and not a great quantity of the Chinese GDP is listed anywhere, or is even tradable. The same might be said of the Indian GDP, and the GDPs of those countries are likely to increase dramatically. Similar comments could be made about the Russian GDP, or about the Eastern European markets.

The Changing Tactics of the U.S. Treasury & the Federal Reserve

Q: *Do the dark forces for evil, i.e. the bear raiders, exist? If they do, have the Treasury and the Fed, via their actions with the GSEs and AIG, made a terrible mistake by underwriting the bear raiders' playbook vis-à-vis finding a large leveraged company with opaque assets and assumed counterparty risk, short the stock, fire up the rumor mill, and ramp up the CDS price, spook the rating agencies and counterparties, and wait for the Treasury and the Fed to wipe out the equity?*

A: The first way to respond to the question is that there are always going to be short sellers, and the short sale thesis, as outlined in the question, is a not an unreasonable one for a short seller to engage in. Should they be called "the dark forces for evil?" I don't know if that's appropriate. A short seller is merely a market participant who tries to make a profit and, in particular, to profit from the short sale of securities.

It's very clear that sometime in mid-September, the government made an enormous change in its tactics. From the advent of the Bear Stearns crisis in early March 2008 to the AIG

crisis in September 2008, the government was willing to lend assistance to various enterprises but, to establish moral hazard, the government exacted a terrible price from the equity shareholders, and that price was massive dilution.

In the case of Bear Stearns, it wasn't dilution on the part of government action, it was merely that J.P. Morgan was able to acquire the company at a large discount to book value. In the case of Fannie Mae, Freddie Mac and AIG, it was massive dilution. In the case of Lehman Brothers, although the government did render assistance initially, it did not act to preserve the enterprise. These are the documented actions of the government. It was not unreasonable for the short sellers to have presumed that the government would act in the same manner with all the other companies. However, the government very quickly changed its tactics and began to provide capital on fairly reasonable terms, given the environment.

The government can exact moral hazard against some market participants, but it's not reasonable to impose moral hazard against all participants in the marketplace. That approach would be tantamount to destroying the financial system, which the government must act to preserve. I don't think that the short sellers fully understand the implications of the government's actions. The government's now assisting the various firms by any means possible. Providing capital is not the only action the government will take; it is merely the first.

Through the Federal Reserve, the government is enormously increasing the money supply. From an arithmetical perspective, that's a debasement of the currency, but it's designed to assist those market participants who suffer from excess indebtedness. Such a policy has limited effectiveness in the short run but, in the long run, though it has many aftereffects that are not very pleasant, it will have the desired effect, which is to help the indebted companies.

In addition, the government plans a massive intervention in various types of markets, not the least of which is the government's plan to buy over \$600 billion of agency paper with a view to orchestrating the mortgage rate to be somewhere around the 4.5% level. The two GSEs, which probably jointly account for 21% of all the foreclosures in the United States, are rapidly restructuring defaulted mortgages, and the banks are doing likewise. There is massive assistance being rendered, and I think that there is more on the way. The government will act to preserve the system. The announcements literally say (and these are not merely approximations of the words; these are the words), "We will do whatever we must to defend the system." In my opinion, that's not a good sign for the short sellers, who may not have appreciated that fact yet, but I think they will soon.

Investing Alongside the Treasury & Fed

Q: *At this stage, how wise is it to become a minority shareholder alongside the Treasury and the Fed in Fannie, Freddie or AIG? In theory, at the right odds, any bet is a good one, but do you think that the Treasury and the Fed will be predisposed to a future trampling on the minorities as a tonic for moral hazard?*

A: The government always has the option of trampling on the minorities, but let's not forget about the majority. The government has made, and is making, a substantial investment in Fannie Mae and Freddie Mac. The government has a vested interest in seeing to it that the value of its investment is maximized. At the end of the day, all entities act in their own self-interest. It would be senseless to create moral hazard by destroying the value of the government's own investment in the GSEs. I think that the point about moral hazard has already been made in the case of Fannie Mae and Freddie Mac, so I don't think that anything would be accomplished by further trampling on the rights of the minorities.

At the moment, there are no viable substitutes for Fannie Mae and Freddie Mac. The original plan announced by the authorities in August was that, over time, Fannie Mae and Freddie Mac would liquidate. We've seen that, if those GSEs were allowed to liquidate, the consequences for the mortgage market would be disastrous. The private market has neither the means nor the willingness to provide an adequate substitute for Fannie Mae and Freddie Mac; therefore, according to the recent announcement, those entities will need to buy many more mortgages. Despite what might've been announced in August, Fannie Mae and Freddie Mac are going to, in my view, enormously increase the balance sheet assets, both in the actual mortgage book, and in the guaranteed book.

I believe that Fannie Mae has on its mortgage book and its guarantee book, probably about \$6 trillion of assets. At the moment, it has a market capitalization of about \$4 billion. Let's assume that on a \$6 trillion book, Fannie Mae could earn one basis point, or \$600 million. If Fannie Mae, as an entity, could merely earn one basis point on its book then it would be trading for, roughly, 6.7x earnings. If the company could earn two basis points on its book, which is not an extraordinary amount of money to earn, then Fannie Mae would be trading at 3.3x earnings. If Fannie Mae could earn 10 basis points on its book, which would be much less than its historical experience, it would be trading for less than 1x earnings.

If one were to assert that Fannie Mae could earn no more than 10 basis points on its book, which is probably a very poor assumption, and if Fannie Mae were not going to grow its book which, in light of recent announcements from the government, I think is also a poor assumption, then Fannie Mae is now trading at well below 1x earnings. Let's say that Fannie Mae were now trading at 0.6x earnings; if that were to increase to 6.6x earnings, an investor would make 10x his or her money. Even if it took five years to happen, the compounded annual rate of return would be 58.5%.

It shouldn't be difficult to imagine what might happen if the return on book, measured in basis points, were higher, and what would happen if the book itself became larger. One would see some truly extraordinary rates of return. Of course, since the government owns 80% of Fannie Mae, it would achieve 80% of those returns.

The government does not wish to own all of the mortgages in the United States. If it had wished to, it would've completely nationalized Fannie Mae, that is, owned 100% of the entity. However, the government did not wish to do so, because it would have become the effective guarantor of all the Fannie Mae debt. Even though there's no explicit guarantee, analysts viewing the U.S. Government's balance sheet would begin to include the agency debt in their calculations of the U.S. debt. That situation could affect the ability of the United States government to obtain funding.

One would think that the U.S. Government should logically wish to avoid having the agency funding added to the U.S. debt. That reason, and no other, is why 20% of Fannie Mae is still in the public domain.

If the minorities are trampled upon, then where is the moral hazard? If the government essentially obliterated the minority interest in Fannie Mae by issuing a sufficient number of warrants, since it would be disastrous for Fannie Mae to place its bondholders in moral hazard, where would be the moral hazard? It can only exist if there are publicly traded stockholders that are at risk; therefore, the minority interest serves a useful social function from the point of view of the government. I don't think that the minority interest is likely to be trampled upon; I think it's much more likely that it is going to make a great deal of money.

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